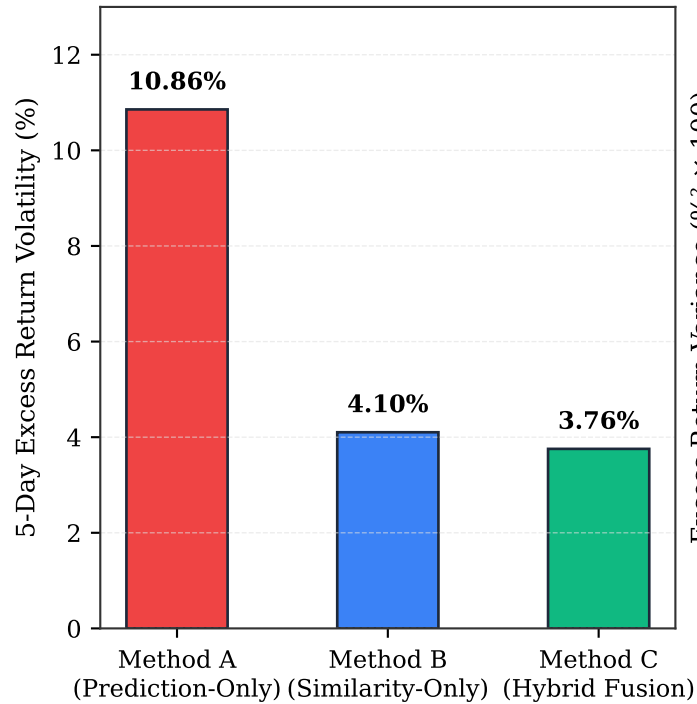


Figure 11. Empirical Variance and Tracking Error Reduction of Method C (6,100 Portfolios)

(a) Tracking Error Volatility



(b) Excess Return Variance

